

THE GRID WIRE

By Land Resource Partners | Andrea Himmel | Vol. 17 | Saturday, June 13, 2026 - Weekend Edition

TIMESTAMP: Saturday, June 13, 2026 - Weekend Edition. Markets closed; comprehensive issue carrying the June 12 close forward and integrating the weekend. The week resolved two prints in opposite directions: a 60-day US-Iran ceasefire with a finalized text (the "Islamabad declaration") that reopens the Strait of Hormuz and took roughly \$8 off crude in two sessions, and an AI claim layer that repriced wider into the relief: Oracle guided fiscal-2027 capex to as much as \$95B against negative free cash flow and lost 9.4% on June 11, and CoreWeave printed unsecured dollar paper at 9.625% the same day. SpaceX debuted Friday at a \$2T-plus valuation in the largest IPO in history. The energy leg of the inflation trade is giving; the funding leg of the AI buildout is not.

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Lead: The Energy Leg Started to Give. The Funding Leg Did Not.

The week ended with the macro and the micro pointing in opposite directions, and the divergence is the entire story. On the macro side, the US and Iran finalized the text of a 60-day ceasefire that reopens the Strait

of Hormuz; crude gave back roughly \$8 in two sessions, the Dow rose 930 points on June 11 and another 354 on June 12, and the long end of the Treasury curve eased.^{1,2,5} On the micro side, the same forty-eight hours produced a \$95B fiscal-2027 capex guide from Oracle against negative \$23.7B free cash flow, a 9.4% single-day decline in the most valuable backlog ever recorded, and a 9.625% unsecured coupon from the investment-grade-rated leader of the neocloud complex.^{7,8,9}

The conventional read is that de-escalation is risk-on and therefore good for everything financed. The order of causation is the opposite. The war premium that drove two consecutive hot headline CPI prints is now leaving the barrel, which deflates the inflation leg going forward; the 23.5% of trailing energy inflation already embedded in the CPI base does not reverse with the spot price. The Fed meets June 17 priced at a roughly 96.5% hold, with no 2026 cuts anywhere on the curve and the probability of a hike within a year still rising.³ Every delayed-draw term loan and powered-shell project financing in the AI complex was struck assuming the next move was down. The ceasefire removes the supply shock that would have forced a hike; it does not restore the cut the structures were modeled against.

Practitioner read. The cleanest single fact of the week is that the AI credit stack repriced wider on the best macro tape of the quarter. CoreWeave's marginal unsecured cost printed 9.625% and Oracle's \$638B backlog lost 9% of its equity value on a day the Dow rose 930 points. When the claim layer cannot rally on de-escalation, the discount is not geopolitical and it is not a demand question. It is the gap between what has been contracted and what can be financed, built, and powered on the contracted timeline. The financed layer (debt, equity, contracts) moved this week. The physical layer (land, water, stranded gas, transmission, turbine slots) did not, and it became relatively more valuable as everything that must be financed to compete for it got more expensive.

I. The Close: Tape, Yields, and the SpaceX Debut

Instrument	Close (Jun 12)	Day	Note
S&P 500	7,431.46	+0.5%	Two-day rally on de-escalation; AI-infrastructure equity mixed underneath. ²
Nasdaq Composite	25,888.84	+0.31%	Lagged the tape; chip and neocloud names heavy into the SpaceX debut. ²
Dow Jones	51,202.26	+353.51 (+0.7%)	Back above 51,000; +930 on June 11, +354 on June 12. ^{1,2}
SpaceX (SPCX)	\$160.95	+19% vs IPO	Opened \$150, intraday peak \$176.52 (+31%). \$135 IPO, ~\$75B raised, >\$2T value. ¹¹
Oracle (ORCL)	\$184.13	~flat	Stabilized after the -9.4% June 11 capex reaction (see Section V). ⁸
CoreWeave (CRWV)	\$100.55	recovered	Back above \$100; >20% below the June 1 peak; unsecured notes priced June 11. ^{9,10}
WTI (crude)	~\$85-86	lower	Off ~\$8 in two sessions on the ceasefire text; ~25% below the 2026 peak. ^{4,5}

Brent (crude)	~\$90	lower	Tracking WTI lower; Fitch models \$87 FY26 average on an end-July reopening. ⁶
30-year UST	~4.9%	eased	Off the 5.01% June 11 level; still a ~5% long bond into a hiking-biased front end. ²
Fed (Jun 17 FOMC)	~96.5% hold	-	3.50-3.75%; no 2026 cuts priced; hike-within-a-year odds rising. ³
Henry Hub (gas)	~\$3.0-3.3	weak	+108 Bcf injection June 11 (vs 99 est); surplus to the five-year average 151 Bcf. ¹⁴
Waha (gas)	~\$3.00 cash (May 22)	n/d	Latest published marks unchanged; negative on 84 of 97 trading days YTD. ^{16,30}

The session's signal was relative, not directional. SpaceX priced the AI/infrastructure listing pipeline at the top of the range and held a 19% gain into the close; the neocloud and chip names that have to borrow to grow traded heavy underneath an index that rose. The Treasury curve eased on the ceasefire but stayed near a 2007 high at the long end. The tape rewarded the equity with no refinancing need (SpaceX) and marked down the equity with the largest one (CoreWeave, Oracle) on the same day.

II. The Bond Move and the AI Financing Stack

The 30-year near 5% and the 10-year near 4.4% are not abstract macro prints. They are the benchmark off which every layer of the AI-infrastructure capital stack is priced, and the ceasefire eased them at the margin without changing the regime.

Stack layer	Benchmark sensitivity and what a ~5% long end does
Hyperscaler-backed IG DDTLs	Spread over Treasuries; reprices the cheapest tier of the stack up first as the base rate holds high.
Single-asset data-center SPV bonds	OAS over the BB index, which itself moves with Treasuries; base rate plus spread widening compound.
Neocloud HY DDTLs (CoreWeave-style)	SOFR plus spread; refinance math tightens against 4-5 year depreciating GPU collateral on 7-year contracts.
Powered-shell project finance	Long-dated, levered to the 30-year; the most directly hit, because these are 15-30 year cash-flow assets.
Equity tranche (neocloud common)	Discount rate equals risk-free plus premium; multiple compression as the risk-free anchor holds near a 2007 high.

The ceasefire introduces the first potential circuit-breaker in the reflexive loop this briefing has tracked since the daily cuts: energy shock drives the inflation prints, the prints drive the long-end repricing, the long end reprices the entire AI

financing stack, and the financing stress does nothing to relieve the energy shock that started it. A signed Hormuz reopening attacks the first link. It does not touch the second branch, financial repression, in which the Treasury caps the long end via shortened issuance, buybacks, and jawboned central-bank purchases, easing nominal financing cost while debasing the real return on the long-dated, levered cash flows that powered-shell projects depend on.

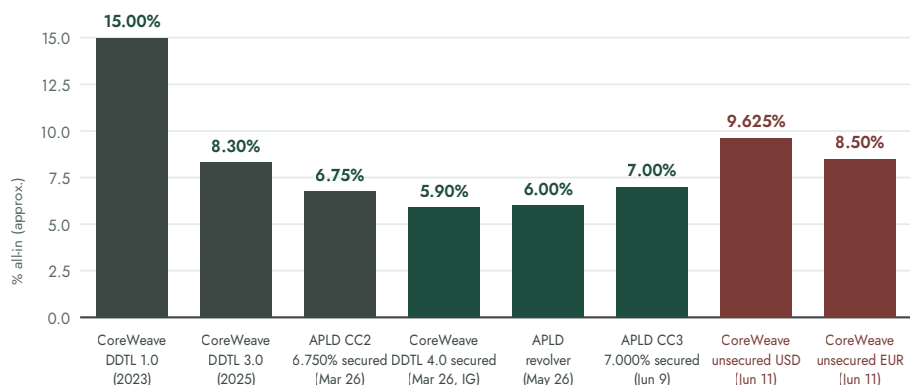
Composite implication. Both branches of the rate path are negative for the financed layer and neutral-to-positive for the physical layer. Higher-for-longer at the long end raises the cost of capital directly; financial repression debases the real return on the levered claim. A controlled acre, an adjudicated acre-foot, and a 2029 turbine slot are real assets that carry a higher cost of capital better than a levered claim does, and they are the classic hedge against a debased curve. The week's de-escalation eases the first branch and pushes the system toward the second; neither branch is the one on which the financed claim outperforms the unlevered physical input.

III. The AI-Infrastructure Financing Stack: Now an Asset Class

Metric	Figure
AI-infrastructure non-IG debt raised, cycle to date	\$107 billion-plus committed and funded
Capital required over the next four years	\$400 billion-plus
CoreWeave alone, cumulative DDTL commitments	~\$27 billion
First publicly syndicated HPC term loan (CRWV DDTL 5.0, May 18)	\$3.1B, Ba2/BB+, SOFR+450, due Nov 2031²³
First IG-rated DDTL (CRWV DDTL 4.0, Mar 30)	\$8.5B, A3/A-low, SOFR+225 (~5.9% fixed-equivalent)
CoreWeave senior unsecured (Jun 11)	\$1.25B at 9.625% + EUR 2B at 8.500%, due 2032⁹
Average OAS at issuance	~2x the BB high-yield index
Neocloud capacity-expansion target	16.5 GW (from ~1 GW today)

The June 11 CoreWeave print is the structural event of the week. The company's own secured project paper sits at SOFR+225 (~5.9% indicative); its senior unsecured just priced at 9.625% on the dollar tranche.⁹ The 370 basis points between an issuer's secured and unsecured cost, inside a single capital structure, is the market's stated price for everything above the collateral: the corporate claim, the residual, and the equity cushion the founders have been selling. The proceeds repay outstanding indebtedness, which is the ladder refinancing itself at the unsecured layer to keep the secured layer's covenants clean, two days after the founders' cumulative \$2.3B of equity sales were tabulated and fifteen days before index inclusion makes funds the marginal buyer of the stock.

The cost-of-capital tape, June 12, 2026: secured vs unsecured AI infrastructure debt



Secured project paper (dark) versus the June 11 unsecured tranches (rust); CoreWeave's own secured-to-unsecured gap is ~370 bps. Floating instruments shown at indicative fixed-equivalents; EUR tranche not FX-adjusted; they reprice upward with any hike.

IV. Neocloud Capital Structures: CoreWeave, Nebius, IREN

Item	Amount	Source
Total indebtedness, Dec 31, 2025	\$21.6B	2025 10-K
DDTL 4.0 facility (Mar 30, 2026)	\$8.5B at SOFR+225 (~5.9%)	8-K
DDTL 5.0 facility (May 18, 2026)	\$3.1B, Ba2/BB+, SOFR+450, due Nov 2031	8-K Ex-99.1 ²³
Senior unsecured (Jun 11, 2026)	\$1.25B 9.625% + EUR 2B 8.500%, due 2032	press release ⁹
Off-balance-sheet leases	\$34B	2025 10-K
Contract backlog (RPO)	\$99.4B (Q1); Meta total \$35.2B through 2032	10-K + 8-K
Q1 2026 results	Rev \$2.08B (+112% YoY); net loss \$740M; interest expense \$536M	Q1 8-K ²⁴
Debt-to-equity	7.49x	10-K

CoreWeave (CRWV). The DSC covenant on \$8.5B of GPU-collateralized debt, where the collateral depreciates over 4-5 years against 7-plus-year contracts, is the single most important sentence in the AI-infrastructure credit complex, and a ~5% long end just made the first test materially harder to clear. The May 18 DDTL 5.0 added the first publicly syndicated, secondary-tradable HPC term loan, formalizing GPU-backed paper as an asset class at SOFR+450, 225 bps wide of the IG-rated DDTL 4.0. The June 11 unsecured print sits 370 bps wider still.

Nebius (NBIS). Cleanest balance sheet of the three. Q1: revenue \$399.0M (+684% YoY); GAAP net income \$621.2M driven by a \$780.6M equity revaluation, not operations; adjusted net loss \$100.3M; ~\$4.34B convertible notes outstanding.²⁵ Broke ground May 12 on a gigawatt-scale AI factory in Independence, Missouri (~400 acres, ~\$650M of tax payments over 20 years, 1,200 construction and 130 permanent jobs); Pennsylvania owned AI factory up to 1.2 GW; Nvidia \$2B strategic investment supports a >5 GW deployment target by 2030. Funds expansion via share issuance: dilution is the cost, not covenant risk.

IREN (IREN). Lowest leverage. The Nvidia agreement grants the right to invest up to \$2.1B; in exchange IREN deploys up to 5 GW of Nvidia DSX-branded infrastructure; Microsoft is 57% of the 2026 AI cloud ARR target.

Practitioner read. The three-name comparison resolves cleanly after the week's bond move: Nebius (equity-funded) and IREN (low-leverage) are structurally more survivable in a higher-for-longer environment than CoreWeave at 7.49x debt-to-equity with a DSC covenant on depreciating collateral. The relative-value separator inside the neocloud cohort is leverage, not growth rate. CoreWeave's unsecured print did not change its growth; it marked its leverage.

V. The Hyperscaler Deals and Capex: Footnote-Level

Oracle (the funding test). Q4 FY26 (June 10, after the close): revenue \$19.2B (+21%), cloud \$9.9B (+47%), infrastructure \$5.8B (+93%); remaining performance obligations of \$638B, up 363% year-over-year and up \$85B sequentially.⁷ The funding side of the same filing: Q4 capex \$15.9B, full-year \$55.7B against \$50B guided; fiscal-2027 capex guided to as much as \$95B; free cash flow negative \$23.7B for the year; return on invested capital down from 14.8% to 10.7%.⁸ The market read the second list: the stock opened down 11.1%, closed down 9.4% on a day the Dow rose 930 points, and a shareholder-litigation probe into the capex disclosure opened within twenty-four hours. The structural detail: most of the Q3 and Q4 RPO additions were large AI contracts in which the customer either prepaid for the GPUs or bought and supplied them, with those hardware portions totaling \$75B.⁷

Angle. Customers are paying the cloud vendor in hardware. A \$75B slice of the most celebrated backlog number ever printed is not future compute demand in the ordinary sense; it is counterparties pre-positioning physical GPUs inside someone else's funding structure because neither side trusts delivery to be financeable later. That is turbine-slot logic arriving inside the hyperscaler P&L: the scarce input is funded, delivered hardware in an energized shell, and contracts are now written to secure it in kind. The \$638B claim must be served by capex Oracle does not generate internally; at negative \$23.7B free cash flow, every dollar of the buildout is new debt issued into a no-cut rate regime.

Company	Q1 2026 capex	FY 2026 guide / note
Microsoft	\$31.9B (sequential decline)	\$190B; +\$25B attributed to higher component prices, not unit growth ²⁶
Alphabet	\$35.7B	\$180-190B, raised from \$175-185B
Amazon	\$43.2B	~\$200B pace, maintained

Meta	\$19.8B	\$125-145B, raised \$10B at the midpoint
Oracle	\$15.9B (Q4 FY26)	FY26 \$55.7B vs \$50B guided; FY27 up to \$95B ^{7,8}

Combined hyperscaler 2026 capex now tracks above \$650B. Microsoft's Amy Hood explicitly attributed \$25B of the guide to component prices, a margin signal rather than a volume signal. The footnote that matters most for the physical-scarcity read is Nvidia's circular financing: the fiscal-2026 10-K discloses \$17.5B in private-company and infrastructure-fund investments plus \$3.5B in land, power, and shell guarantees to early-stage companies, a distinct and under-analyzed line.²⁷ Nvidia funds the customer's ability to buy Nvidia hardware, recognizes the hardware revenue, and holds a non-voting equity claim whose value depends on the same deployment it just financed. The single highest-information forward disclosure in the complex is whether that \$3.5B guarantee line rises in the next 10-Q; if it does, the vendor most central to the cycle is using its balance sheet to take a position in the physical layer rather than the financed layer.

VI. The IPO Wave: SpaceX Prices the Pipeline

SpaceX (SPCX) priced at \$135, opened at \$150, peaked intraday at \$176.52, and closed at \$160.95, up 19%, raising roughly \$75B on more than 555 million shares at a valuation above \$2 trillion: the largest IPO in history.¹¹ It follows Cerebras (priced \$185 in May, +68% debut, then -10% the day after as the AI cohort reversed: 2025 revenue ~\$510M at a 47% net margin, \$24.6B backlog, OpenAI's \$20B-plus 750 MW inference commitment, and 85%/24% customer concentration in G42).¹² OpenAI submitted a confidential S-1 on June 8, one week after Anthropic's June 1 filing; Anthropic's ARR ran \$1B (Dec 2024) to \$9B (Dec 2025) to \$44B (May 2026).^{12,15}

Practitioner read. The IPO window is open for the equity with no refinancing need and closing on the debt with the largest one, in the same week. SpaceX held a 19% gain; CoreWeave's unsecured paper printed at 9.625%. The pipeline behind SpaceX (OpenAI, Anthropic, and the neocloud cohort) is estimated near \$4T of market value and more than \$240B of capital absorption by year-end. The demand side is not the variable. Anthropic's ARR trajectory guarantees the spillover demand continues; the constraint is unambiguously the cost of financing the supply that meets it.

VII. GE Vernova: Turbines, Lead Times, and Electrification

Metric	Q1 2026	Note
Orders	\$18.3B (+71% organic)	Backlog \$163B (+\$13B in 90 days) ²⁷
Gas turbine backlog + slot reservations	44 GW firm + 56 GW slots = 100 GW	Up from 83 GW in Q4 2025; YE target raised to 110 GW
Data-center equipment orders	\$2.4B	More than all of 2025

2029-2030 slot availability	~10 GW remaining combined	Pricing +10-20 points vs Q4 2025
FCF guide (raised)	\$6.5-7.5B	Over 4x prior year; \$200B backlog target pulled to 2027

CEO Scott Strazik on the Q1 call: lead times are "directionally at about three years," with "about 10 GW remaining cumulatively in 2029 and 2030." Independent monitors estimate two-thirds of US gas-project developers have not identified a turbine manufacturer. A turbine slot is a hard physical option with a multi-year lead time and a strike price that has risen 10-20 points in two quarters; it does not reprice when the 30-year moves, and in a higher-cost-of-capital regime the value of already holding a 2029 slot rises, because the option to acquire one later is now more expensive to finance.

On the electrification side, Eaton's Q1 revenue grew 17% to \$7.45B with data-center orders up 240% and backlog at \$22.8B, but earnings grew only 2% as capacity-expansion cost ate margin; Vertiv's backlog reached \$15.0B (+109%). Bloomberg reported more than half of US data centers planned for 2026 are now expected delayed or canceled for lack of transformers, switchgear, and electrical gear, not money or land.

VIII. Power Generation Deals: Chevron, Stargate, and the Shadow Grid

Chevron / Engine No. 1 / Microsoft. Microsoft holds exclusivity on the 2.5 GW (expandable to 5 GW) Permian behind-the-meter project, ~\$7B, with seven GE Vernova turbines on order (three-year lead, 2029 delivery) and first power targeted late 2027. Definitive terms remain n/d.

Stargate. Now an umbrella term, not first-party infrastructure: eight sites announced; 600 MW Abilene expansion; a 5 GW US-UAE campus in Abu Dhabi (first 1 GW cluster G42-built, OpenAI/Oracle-operated, Nvidia GB300), part of UAE's repositioning as the sovereign-AI oil-export hybrid counter to Saudi Humain.

The shadow grid. Global Energy Monitor counts 1,000-plus GW of gas-fired power in development worldwide (+31% in a year); Texas has ~58 GW of gas in planning or construction, more than the next four states combined: Pacifico GW Ranch 7.65 GW (largest disclosed), Chevron Pecos 2.5-5 GW, Crusoe 4.5 GW for Stargate. All gas-anchored, all Texas, all dependent on the turbine bottleneck in Section VII.

Practitioner read. The PJM independent market monitor (Monitoring Analytics) found data centers directly caused a 75.5% wholesale-power increase in the largest US power region, from \$77.78/MWh (Q1 2025) to \$136.53/MWh (Q1 2026), and called the impact "very large and not reversible," recommending large loads negotiate directly with producers rather than mix demand into the capacity auction.²⁸ That is the East Coast precedent validating the off-grid, behind-the-meter, gas-anchored Texas model from the regulatory side. "Not reversible" converts a transient price spike into a structural cost step-change in the densest US data-center corridor, which raises the relative attractiveness of dedicated Permian generation that never touches a socialized auction. The June 2026 PJM base residual auction is a hard catalyst on the same clock as ERCOT Batch Zero and the June 17 FOMC.

IX. Utilities and the PPA Comparable Set

Name	State of play
NextEra / Dominion	Definitive all-stock merger, \$66.8B, announced May 18 (corrects the prior exploratory read). Largest power-sector combination on record; ~130 GW combined large-load pipeline; Virginia hearings opened June 10; \$10/month ratepayer rebate for two years offered; close guided 12-18 months. ^{17,18}
Vistra (VST)	Q1: GAAP net income \$1.029B; adjusted EBITDA \$1.494B (+20%); 2026 guide \$6.8-7.6B reaffirmed; IG at a second agency (Fitch BBB-, March); 20-year 2,609 MW Meta nuclear PPA across the PJM fleet; AWS Comanche Peak ongoing; Cogentrix 5.5 GW gas targeted 2H 2026; \$525M Q1 buybacks.
Constellation (CEG)	Q1: adjusted EPS \$2.74 (vs \$2.59 consensus); revenue \$11.12B; GAAP net income \$1.59B; Calpine acquisition closed January; Crane (TMI) restart on a post-FERC framework; Microsoft 20-year PPA estimated \$100-102/MWh.
Talen (TLN)	Q1: adjusted EBITDA \$473M (more than 2x); adjusted FCF \$350M (4x); 16 TWh; the 17-year Susquehanna/AWS PPA (~\$68.90/MWh) remains the floor print for existing-fleet nuclear offtake.

Angle. The nuclear PPA tape now runs \$68.90 (Talen/AWS, 2024 vintage) to \$100-102/MWh (Constellation/Microsoft), a 45%-plus escalation in two years and the clearest printed price series for firm, carbon-free capacity scarcity. The NextEra-Dominion combination, now definitive, is a purchase of load-pocket position and a ~130 GW interconnection pipeline, not generation; the scarce asset is Dominion's Loudoun County interconnection. Vistra's investment-grade upgrade means its hyperscaler contract counterparty risk is now IG-rated, expanding the universe of mandate buyers for both its corporate debt and the embedded utility credit in its PPAs.

X. Nuclear Fuel and SMRs

Uranium held near \$86/lb into late May before futures eased below \$85; June spot marks n/d.²² Cameco reaffirmed 2026 production guidance of 19.5-21.5 Mlb U3O8 with ~28 Mlb/yr of delivery commitments through 2030; on June 1 Cameco and Orano agreed to acquire TEPCO's 5% of the Cigar Lake JV; the Westinghouse stake contributed C\$122M of adjusted EBITDA in Q1; Cameco's framing is 72 reactors under construction globally and a supply deficit in the 2030s. Oklo (Q1, May 12): net loss \$33.1M; cash and securities \$2.5B; the NRC approved the Aurora Powerhouse Principal Design Criteria on May 6, a gating step for the combined license; Idaho ground broken; a 1.2 GW Ohio campus advancing; Nvidia fuel-validation partnership at Los Alamos. NuScale and Oklo sold off hard in the June 5 risk break; neither has a grid-connected reactor.

Practitioner read. The TEPCO buyout is small and telling: the incumbent producer is consolidating ownership of existing, licensed, producing uranium pounds at the same time the equity market chases pre-revenue SMR paper. Existing pounds, like existing megawatts and existing acre-feet, cannot be financed into existence on the demand curve's timeline. The fuel cycle is tightening quietly while the speculative claim layer absorbs the volatility.

XI. Texas Power: PUCT 58481, ERCOT Batch Zero, and the Bifurcating Pipeline

Provision / item	Detail
Interconnection fee (PUCT 58481 / SB6)	\$50,000/MW non-refundable (cut from the \$100,000 draft)
Contribution in aid of construction	100% of direct interconnection costs
Site control	Deed, purchase option, or lease ≥ 5 years beyond contracted peak demand
Withdrawal penalty	80% of posted security forfeit to the TSP rate base; 20% refunded
Final rule	Expected by July 2026
ERCOT Batch Zero	PUCT vote June 18 ; effective target August 1; batch forecast mid-August
ERCOT large-load queue	438 GW vs ~85-90 GW state peak (~5x); ~87% data center
Bifurcation	Hill (1-yr moratorium), Hood (rejected), Hays, Hutto vs Pecos and Reeves (no municipal opposition)

ERCOT's preliminary load forecast runs 85,508 MW today to 278,003 MW (2029) to 367,790 MW (2032); ERCOT President Pablo Vegas flagged the forecast as higher than expected and unreliable for resource-adequacy analysis. The \$50,000/MW fee, the 100% CIAC, and the 80% withdrawal forfeit are, after the week's bond move, a much higher hurdle than when drafted, because they must now be funded against a ~5% 30-year. The rule was designed to filter speculative interconnection requests; the cost-of-capital move sharpens that filter further, and projects already through the gate with land control, water, and turbines do not face the new financing math.

XII. The Permian Surface Layer: Land, Water, Gas, Transmission, Turbines

Four of the five physical inputs that price off none of the week's financial moves concentrate in one West Texas geography, Pecos and Reeves counties, where municipal opposition is negligible and ad valorem capacity is large.

Input	Status in the basin
Land	GW Ranch 7,650 MW, Chevron 2.5-5 GW, Core Scientific 1.5 GW, Microsoft Reeves 2.5 GW, Hanwha. The PUCT rule makes site control a regulatory prerequisite.

Water	Cockrell v. Middle Pecos GCD (Texas Supreme Court reversal, March 13) reopened the merits challenge to a 28,400 acre-foot export permit; the Reeves County GCD Historical Use Permit deadline of September 1, 2026 stands to create the first tradeable senior water market in the US.
Gas	Waha basis at structurally negative levels (Section XIII); sub-zero stranded fuel for behind-the-meter generation.
Transmission	The Permian Basin Reliability Plan's approved 765 kV import paths run west-to-east through Pecos, Reeves, and Ward; Oncor's first 765 kV CCN decision (Longshore to Drill Hole, ~180 miles) is expected this month.
Turbines	Chevron's seven GE Vernova units on order are pre-secured against the Section VII bottleneck.

Practitioner read. The week's clearest public-market expression of the surface layer is the LandBridge / PowerBridge "Alpha Digital" option: \$2.6M paid for a one-year exclusive on 3,400 Reeves County acres for a gigascale campus, first power targeted 2027, structured as a royalty with no operator capex.³¹ The financier-not-operator structure, a low-cost call on permitted, powered, water-adjacent land, is how public capital is expressing the physical layer, and it crystallizes precisely as the financed layers reprice. Each of the four inputs is individually scarce; the convergence in a single low-opposition jurisdiction is the structural feature, and the spread between the price of a financed claim and the price of the underlying input it depends on widens every time the financed layer reprices.

XIII. Waha and Permian Gas: The Cleanest Fuel-Cost Moat

Metric	Level
Waha fixed price (June prompt)	-\$5.69/MMBtu (May 1)
Waha basis	-\$8.25/MMBtu (May 1)
Waha cash record low	below -\$9.50/MMBtu (April 16)
Summer 2026 strip	-\$4.69 (May 22); cash ~-\$3.00
Henry Hub (June)	~\$2.78-3.34; +108 Bcf injection June 11, surplus 151 Bcf
Waha negative days YTD	84 of 97 trading days

Producer behavior confirms the dislocation. Kinetik raised 2026 shut-in guidance to 220 MMcf/d from 100; Targa is shutting 200-400 MMcf/d; ~620 MMcf/d combined, all from gas-focused customers. Diamondback is voluntarily curtailing 2,000-3,000 bbl/d of oil tied to gas-takeaway-constrained wells. Egress relief arrives in stages: Gulf Coast Express +570 MMcf/d (Q2), Energy Transfer's Hugh Brinson phase 1 1.5 Bcf/d (Q4 2026) and phase 2 ~2.2 Bcf/d (Q1 2027), Targa Blackcomb 2.5 Bcf/d (Q4 2026), roughly 4 Bcf/d of new egress between Q2 2026 and Q1 2027. The EIA's June STEO cut the 2027 Henry Hub forecast by \$1.13 to \$3.46 on the storage overhang.¹⁵

Practitioner read. Negative Waha is a fuel input priced below zero, and it is the one cost in a gas-fired data-center P&L that is immune to the bond market. On a week when the cost of every financed input in the AI stack stayed near a 2007-high long end, the fuel cost for co-located Permian behind-the-meter generation remained at a record-negative level. The contrarian risk is that associated-gas growth driven by \$85-plus crude outruns pipeline relief: if Permian oil exit-rate exceeds the EIA's expected 6.4-6.5 mb/d, new egress is absorbed and Waha basis stays negative through 2027, which extends rather than closes the moat.

XIV. Crude: The Oil Tipping Point Reverses

Kept strictly separate from the gas analysis above. The weekend's analyst convergence, which through May had pointed at a June-to-Q3 physical inflection toward stress, reverses on the ceasefire text.

Source	Pre-ceasefire forecast (May)	Now
JPMorgan	Inventories "approach operational stress" by early June if Hormuz stays closed	Reopening defers the stress case
Rapidan / UBS	Critical inventories July-August; "panic buying" risk	Reopening converts toward oversupply risk
IEA / EIA	Deficit until Q4 even on a constructive Hormuz path	End-July reopening pulls Brent to ~\$89 in Q4
Fitch	-	Brent ~\$87 FY26 average; Q4 oversupply risk

The June 12 text finalized in Islamabad reopens the Strait of Hormuz (no tolls), commits Iran to clear its mines within 30 days, lifts the US port blockade, and issues sanctions waivers restoring Iranian export flow; a signing is expected in Geneva within days.⁵ Physical normalization lags the signature: mines must clear, idled fields restart, and damaged facilities repair, and vessel transit through Hormuz has been at a near-complete halt since March 2, the first such halt in recorded history. The supply stack behind the reopening is unchanged: OPEC+ adding 188,000 b/d in July, record US exports, Chinese imports at 8-year lows, and the crude-side shale ramp arriving into it. A signed deal converts Fitch's end-July reopening from forecast to schedule, with Q4 oversupply as the printed risk case.

XV. US Policy: The Fed, the OBBBA Cliff, and the Bond-Vigilante Endgame

Kevin Warsh chairs his first FOMC June 16-17, priced at a ~96.5% hold with no 2026 cuts and rising hike-within-a-year odds.³ On June 6 the US District Court for DC (Oregon Environmental Council v. IRS, 25-4400, CKK) vacated IRS Notice 2025-42, restoring the 5% safe harbor for wind and large solar ahead of the July 4 OBBBA begin-construction deadline; no stay was filed in the window, but counsel alerts converge that appellate review will outlast July 4 and that a reversal could apply retroactively, so qualifying under the physical-work test remains the conservative path.²¹ July 4 is 21 days out.

Composite implication. The financial-repression endgame remains the single most important scenario for the AI-infrastructure financing stack, and the ceasefire moves the system toward it. Named, on-record practitioners (Daleep Singh on the "bond-vigilante trade," Jamie Dimon on a "bond crisis") have described 5%-plus long yields as fiscally unsustainable and a Treasury response (shortened issuance, buybacks, jawboned long-end purchases) as the likely terminal state. If the ceasefire deflates the oil leg, it relieves the inflation print that was forcing the hike, but it does not restore the cut the AI structures were modeled against, and it pushes policy toward capping the long end via repression, which debases the real return on exactly the long-dated, levered cash flows the powered-shell projects depend on.

XVI. Novel Angles and Second-Order Signals

- 1. The energy leg is giving; the funding leg is not.** On the best macro tape of the quarter, unsecured AI-infrastructure debt printed 9.625% and the largest backlog ever recorded lost 9% of its equity value. The binding variable is cost of capital, not demand or technology.
- 2. Customers are paying the cloud vendor in hardware.** \$75B of Oracle's \$638B RPO is prepaid or customer-supplied GPUs: counterparties securing physical hardware in kind inside other companies' funding structures.
- 3. The secured-to-unsecured gap is now printed inside one issuer.** CoreWeave's 370 bps is the market's stated price for the corporate claim above the collateral.
- 4. GPU paper is a formalized asset class.** DDTL 5.0 is the first publicly syndicated, secondary-tradable HPC term loan; the next deal's spread tells you whether IG balance sheets are absorbing it.
- 5. Slot reservations are a tradable real option.** GE Vernova's 56 GW of slot reservations on top of 44 GW of firm backlog is a held call on 2029-2030 generation siting; watch for secondary slot transfers.
- 6. "Not reversible" is the East Coast precedent.** PJM's monitor recommending direct producer contracts validates the off-grid Texas model from the regulatory side.
- 7. The IPO window and the credit window are open in opposite directions.** SpaceX held +19% the same week CoreWeave paid 9.625% unsecured.

XVII. Earnings-Transcript Highlights

Jamie Welch (Kinetik), May 7: "It is a tale of two cities: crude folks that are doing cartwheels and back flips, and those that are localized Waha gas-centric sellers are literally crying poverty."

Kaes Van't Hof (Diamondback): "Every molecule we've produced has moved. It's just moving at a negative price."

Scott Strazik (GE Vernova): "...we now expect to reach at least 110 GW of combined gas turbine backlog and slot reservation agreements by year-end 2026... In the quarter, our Electrification segment booked \$2.4 billion in equipment orders to support data centers, more than all of last year."

Ezra Jacob (EOG): "...there's a call across the world right now for increased oil supply."

Amy Hood (Microsoft), FY Q3 call, April 29: "\$190 billion CY 2026 capex... anticipates a \$25 billion impact from higher component prices."

Jake DeWitte (Oklo): "Part 57 is a culmination of work spanning over a decade."

XVIII. What to Watch

Next 72 hours: the Islamabad-declaration signing in Geneva and any Hormuz transit or mine-clearance development; the Asian crude open Sunday night.

Next 7 days: the June 17 FOMC (Warsh's first) statement language and any balance-sheet-runoff signal; APLD's \$1.59B notes close (~June 16); the first AI-infrastructure deal to price after the CoreWeave unsecured print, which marks whether the 9.625% is the new clearing level or an outlier.

June 18 (four-event day): the PUCT Batch Zero vote; the Reeves County GCD's last scheduled board meeting before the September 1 water deadline; the CoreWeave unsecured notes close; and the open window for Oncor's first 765 kV CCN order.

Next 30 days: the PUCT 58481 final rule (expected July); the July 4 OBBBA begin-construction cliff and any emergency stay; the June PJM base residual auction; CoreWeave's Russell inclusion (June 26); Nvidia's next 10-Q and whether the \$3.5B land/power/shell guarantee line rises.

XIX. Footnotes, Sources, and Confidence Flags

1. TheStreet and Yahoo Finance, June 11, 2026 close: Dow +929.97 (+1.86%) to 50,848.75; Trump called off planned strikes; de-escalation tape.
2. CNBC and TheStreet, June 12, 2026 close: S&P 500 7,431.46 (+0.5%); Nasdaq 25,888.84 (+0.31%); Dow 51,202.26 (+353.51, +0.7%); long end eased.
3. CME FedWatch via FOMC previews, June 10-11: ~96.5% hold probability for June 17 at 3.50-3.75%; no 2026 cuts priced; hike-within-a-year probability rising.
4. CNBC and TradingKey, June 11-12: WTI \$87.71 close June 11, \$86.51 extended, lower June 12 on deal proximity; off ~25% from the 2026 peak.
5. NBC News, Washington Post, CNN, and Times of Israel live coverage, June 12-13: Pakistan PM says the US-Iran peace-deal text is finalized (the "Islamabad declaration"); signing expected in Geneva within 1-2 days; reopens the Strait of Hormuz (no tolls); Iran clears mines within

- 30 days; US lifts the port blockade and issues sanctions waivers; Iran commits indefinitely never to develop nuclear weapons; remaining hurdles are verification, implementation, and Tehran factions.
6. TradingKey and Fitch commentary, June: end-July Hormuz reopening base case; Brent ~\$87 FY26 average; Q4 oversupply risk.
 7. Oracle Q4 FY26 8-K and press release, June 10: revenue \$19.2B (+21%); cloud \$9.9B (+47%); IaaS \$5.8B (+93%); FY26 revenue \$67.4B; RPO \$638B (+363% YoY, +\$85B sequential); most Q3/Q4 RPO additions were large AI contracts with customer-prepaid or customer-supplied GPUs totaling \$75B.
 8. TradingKey, ChartMill, and Stocktwits, June 10-12: Q4 capex \$15.9B; FY26 capex \$55.7B vs \$50B guided; FY27 capex up to \$95B; FY26 FCF -\$23.7B; ROIC 14.8% to 10.7%; ORCL opened -11.12%, closed -9.38% June 11, ~flat \$184.13 June 12; shareholder-litigation probe on capex disclosure.
 9. CoreWeave press release with Reuters and Investing.com pricing detail, June 11: \$3.5B senior unsecured; \$1.25B at 9.625% and EUR 2B at 8.500%, both due July 15, 2032; subsidiary guarantees; proceeds GCP including repayment of outstanding indebtedness; closing expected June 18.
 10. Stockanalysis.com, June 12: CRWV closed \$100.55; more than 20% below the June 1 peak.
 11. CNBC, NPR, NBC News, and Investing.com, June 12: SpaceX (SPCX) IPO \$135; opened \$150; intraday peak \$176.52; closed \$160.95 (+19%); ~\$75B raised on 555.6M+ shares; valuation above \$2T; largest IPO in history.
 12. CNBC and Benzinga, May-June: Cerebras priced \$185, +68% debut then -10%; 2025 revenue ~\$510M, 47% net margin, \$24.6B backlog, OpenAI \$20B+ 750 MW inference, G42 concentration 85%/24%; OpenAI confidential S-1 June 8; Anthropic June 1.
 13. (reserved)
 14. EIA Weekly Natural Gas Storage Report, June 11 (week ending June 5): +108 Bcf vs +99 consensus; surplus to the five-year average 151 Bcf.
 15. EIA Short-Term Energy Outlook, June 9: May Henry Hub \$2.94; H2 2026 ~\$3.34; 2027 cut \$1.13 to \$3.46 on the storage surplus.
 16. AEGIS Hedging Waha marks (carried, latest published): May 1 prompt fixed -\$5.69, basis -\$8.25; May 22 Summer 2026 strip -\$4.69, cash ~-\$3.00; April 16 cash record low below -\$9.50.
 17. Axios, Cardinal News, and SEC Form 425, May 18: NextEra-Dominion all-stock merger, \$66.8B equity value; largest power-sector tie-up on record; ~130 GW combined large-load pipeline; close guided 12-18 months.
 18. WVTF, June 10: Virginia legislators question Dominion on the merger; \$10/month ratepayer rebate for two years offered.
 19. (reserved)
 20. Oncor newsroom and project pages: first 765 kV CCN (Longshore to Drill Hole, ~180 miles) amendment filed December 11, 2025; PUCT decision expected June 2026; energization December 2028 if approved.
 21. Holland & Knight, Foley Hoag, Gibson Dunn, and McGuireWoods alerts on Oregon Environmental Council v. IRS: vacatur June 6 restored the 5% safe harbor; government stay and appeal expected; appellate timeline likely outlasts July 4; reversal could be retroactive; physical-work qualification remains the conservative path.
 22. TradingEconomics uranium, late May: futures eased below \$85/lb; June spot n/d. Cameco Business Wire, June 1: TEPCO Cigar Lake 5% acquisition with Orano; 2026 guide 19.5-21.5 Mlb; 72 reactors under construction.
 23. CoreWeave Form 8-K and Exhibit 99.1, May 18: DDTL 5.0, \$3.1B, Borrower CoreWeave Financing DDTL V LLC; Morgan Stanley Senior Funding and MUFG; SOFR+450 (0.00% floor); maturity November 15, 2031; Ba2/BB+; equity pledge plus CoreWeave Inc. parent guarantee; oversubscribed, priced 50 bps tighter during syndication.
 24. CoreWeave Q1 2026 call, May 7: revenue \$2.08B (+112% YoY, +32% QoQ); EPS -\$1.11 (missed -\$0.92); backlog \$99.4B; adjusted EBITDA \$1.2B (56% margin); net loss \$740M; interest expense \$536M; active power >1 GW, contracted >3.5 GW.
 25. Nebius Q1 2026, May 13: revenue \$399.0M (+684% YoY); GAAP net income \$621.2M (driven by \$780.6M equity revaluation); adjusted net loss \$100.3M; ~\$4.34B convertibles; Pennsylvania up to 1.2 GW; Missouri gigawatt campus groundbreak May 12; Nvidia \$2B strategic; >5 GW by 2030.
 26. Hyperscaler Q1 2026 capex (released late April): Microsoft \$31.9B (FY guide \$190B, +\$25B component-price impact per Amy Hood); Alphabet \$35.7B (FY \$180-190B, raised); Amazon \$43.2B (~\$200B pace); Meta \$19.8B (FY \$125-145B, raised \$10B at midpoint); combined run-rate above \$650B.
 27. GE Vernova Q1 2026 8-K, April 22: orders \$18.3B (+71% organic); backlog \$163B; gas 44 GW firm + 56 GW slots = 100 GW (up from 83 GW), YE target 110 GW; data-center electrification orders \$2.4B; FCF guide \$6.5-7.5B; Strazik lead-time and 110 GW remarks. Nvidia fiscal-2026 10-K: \$17.5B private/infrastructure-fund investments; \$3.5B land/power/shell guarantees to early-stage companies; tracked-but-unconfirmed incremental line pending the next 10-Q.

28. Monitoring Analytics (PJM independent market monitor), May report: data centers caused a 75.5% wholesale-power increase, \$77.78/MWh (Q1 2025) to \$136.53/MWh (Q1 2026), "very large and not reversible"; recommends direct producer contracts; June 2026 base residual auction.
29. ERCOT and PUCT, June: Batch Zero PUCT vote June 18, effective target August 1; queue 438 GW (~5x the ~85-90 GW state peak), ~87% data center; preliminary load forecast 85,508 MW to 278,003 MW (2029) to 367,790 MW (2032); PUCT 58481 final rule expected July 2026.
30. Permian producer Q1 calls (week of May 5-8): Kinetik shut-in guidance raised to 220 MMcf/d; Targa 200-400 MMcf/d; Diamondback 2,000-3,000 bbl/d oil curtailment; Permian Resources \$1.33/Mcf realized; egress schedule GCX/Hugh Brinson/Blackcomb; Waha negative 84 of 97 trading days YTD.
31. LandBridge / PowerBridge "Alpha Digital" Q1 disclosure: \$2.6M one-year option on 3,400 Reeves County acres for a gigascale campus; first power targeted 2027; royalty structure, no operator capex.

Confidence flags and data gaps:

- **30-year / 10-year June 12 closing yields:** intraday and source variance; precise settle marked approximate (~4.9% / ~4.4%), not a confirmed close.
- **WTI / Brent June 12 settle:** directional (lower on the ceasefire text); exact settle not yet confirmed across sources; shown as a range.
- **Baker Hughes rig count:** the week-of-June-12 publication shifted around the Juneteenth holiday; Permian ~241 (latest) carried, precise weekly delta n/d.
- **Nvidia \$3.5B land/power/shell guarantee:** tracked but unconfirmed as an incremental line; the next 10-Q is the read.
- **Waha June marks:** no new published marks in the window; May 1 / May 22 carried.
- **Ceasefire signing:** text reported finalized June 12; signature pending (Geneva, expected within days); treated as agreed-but-unsigned.

The Grid Wire is a capital markets and infrastructure briefing produced by Andrea Himmel at Land Resource Partners. Sources are primary where available: SEC filings and exhibits (8-Ks, 10-Ks, 10-Qs), earnings-call transcripts, regulatory dockets and grid-operator materials, official statistical-agency outlooks, court opinions, and named on-record actors. Sell-side and media are data sources only, never analytical authority. Direct quotes are from earnings-call transcripts, footnote-level disclosures, and named on-record interviews. Undisclosed figures are marked n/d, never estimated. Crude oil and natural gas are sourced and analyzed separately throughout. Floating-rate fixed-equivalents are indicative. Nothing herein is investment advice or an offer to transact in any security. Distribution: Mel Riggs, Mark.